

Situational Awareness Unwind — Executive Summary

Situational Awareness LP's 4x-leverage narrative is incomplete. Its own SEC filings show a fund that entered July 2026 with its put-linked exposure eliminated — 61.9% of gross to 0.03% in one quarter — while concentration in its top five positions rose to 77.3%. This reconstruction, built entirely from SEC EDGAR primary filings and priced market data, decomposes the collapse and screens today's market for the same signature.

Headline Numbers

Metric	Value
Disclosed 13F book, 30 Jun 2026	\$20.24bn gross / 26 entries (\$20.17bn long, 23 positions)
Top-2 concentration (SanDisk + Micron)	55.5% of disclosed gross
Put-linked exposure, Q1 2026 -> Q2 2026	61.9% -> 0.03% of gross
Herfindahl index, Q1 2026 -> Q2 2026	0.070 -> 0.176
Book-weighted days-to-liquidate @ 20% ADV	1.55 days (book screened LIQUID)
Least-liquid position (Core Scientific)	9.25 days -- confirmed could not clear on schedule
Documented forced block-trade discount	12.2% below mid-July prints
Actual priced long-book return, Jun-end -> Jul-end	-33.9%
of which sector beta (SOX)	-18.9%
of which concentration effect	-5.6%
Reported fund-level equity loss (unaudited)	-67% (not force-reconciled -- see memo)
Live screen: current filers breaching 2+ of 3 risk axes	1 of 12 screened

The Central Finding

Whether by active close-out or unrolled expiry -- 13F cannot distinguish the two -- Situational Awareness entered July with no disclosed downside protection on its public book, versus 62% of gross in puts three months earlier. Two positions (Micron, TSMC) show a put replaced by a larger long on the identical issuer between quarters. This is a bounded, filing-evidenced fact, stated independent of intent.

What the Attribution Shows

The disclosed long book fell 33.9% from June-end to July-end, priced against real market data. Sector beta (SOX index, -18.9%) explains just over half; concentration versus an equal-weighted version of the same names explains a further -5.6%; the remainder is stock-specific. The fund's own reported -67% equity loss is a leveraged, net-of-shorts number this project deliberately does not force-reconcile to the long-book figure -- doing so would require assuming leverage and short-book P&L; that cannot be independently verified from public filings.

Validation, Including a Negative Result

The liquidity model was tested against a documented outcome: it correctly flagged Core Scientific as the single least-liquid position in the book, and that position was confirmed by SEC filing to still be under forced sale five days after the main unwind. The concentration-scoring engine was also tested out-of-sample on two unrelated historical blow-ups (Melvin Capital, Tiger Global) against two large diversified controls (Berkshire Hathaway, Renaissance Technologies) -- and a naive, single-metric version of the engine FAILED to separate them cleanly. That negative result, reported rather than suppressed, is what led to a three-axis screen (concentration level, concentration trend, multi-name crowding) rather than a single static threshold.

The Decision

One of twelve current 13F filers screened -- Symmetry Peak Management LLC -- breaches 2 of the 3 risk axes that preceded the Situational Awareness unwind, with its concentration index rising from 0.103 to 0.237 in a single quarter. This is risk geometry, not a prediction, and is not investment advice. See reports/RISK_MEMO.pdf for the full basis and recommended next step.

Source: SEC EDGAR (13F-HR, 13D/A, Form D/A), CIK 0002045724 / 0002038540. Prices: yfinance, snapshot 22 Aug 2026. Full methodology, limitations, and reconciliation of conflicting press figures: see README.md and reports/RECONCILIATION.md. Prepared by Shaswat Sharma -- github.com/theshaswat.